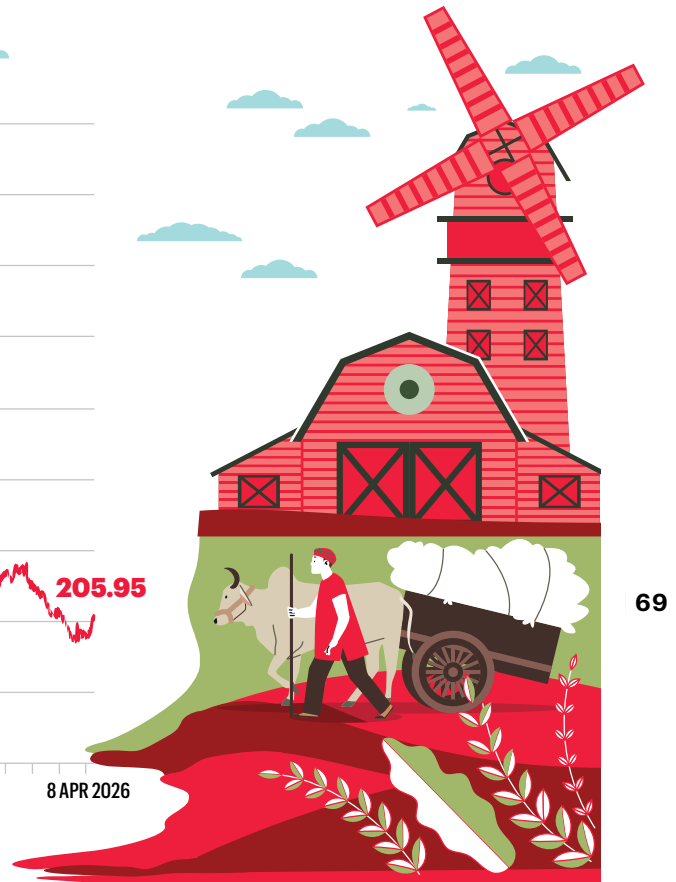


STOCK MOVEMENT

AWL AGRI BUSINESS LTD.



SOURCE ACE EQUITY



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palm oil prices meant that even when volumes grew, the bottom line often shrank,” says Choksey.

The AWL Agri stock has declined 48% since its initial public listing in February 2022 and 25% over the past year. “Post-IPO, the stock was trading at very high P/E (price/earnings) multiples. As growth in the core oil business slowed, the market rerated the stock toward more realistic FMCG multiples,” says Choksey.

Kranti Bathini, equity strategist at WealthMills Securities, says ups and downs in profitability in the last few years, too, have had an impact on the stock. The high freight rates, volatile edible oil prices and increas-

ing packaging costs have also had an impact on AWL Agri, says Kanhere. “High inflation has led many rural consumers to downgrade or downtrade—switching from premium branded oil to smaller packs or cheaper unbranded alternatives,” Choksey adds.

While the core edible oil business will continue to provide scale and cash flows, the future, as the company sees it, lies in building a more stable, higher-margin, and less volatile portfolio. The food business is no longer an experiment. It is becoming the hedge. The question is how quickly AWL can build it. **BT**

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